

September 29, 2026

Anand Rathi Share and Stock Brokers Limited: Ratings reaffirmed; rated amount enhanced

Summary of rating action

Instrument*	Previous rated amount (Rs. crore)	Current rated amount (Rs. crore)	Rating action	Financial sector regulator [#]
Long-term/Short-term fund-based/ Non-fund based bank lines – others	1,750.0	1,945.0	[ICRA]A+ (Stable)/[ICRA]A1+; reaffirmed and assigned for enhanced amount	RBI
Commercial paper	200.0	300.0	[ICRA]A1+; reaffirmed and assigned for enhanced amount	RBI
Total	1,950.0	2,245.0		

*Instrument details are provided in Annexure I

[#]SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

Rationale

The ratings continue to factor in Anand Rathi Share and Stock Brokers Limited's (ARSSBL) established position in the domestic capital market, its long track record across market cycles, comfortable capitalisation, and adequate profitability. It has a track record of over three decades in capital market businesses and caters to both retail and institutional clients. Capitalisation profile was characterised by a net worth of Rs. 1,341 crore as of June 2026 and moderate debt/equity ratio of 0.8 times. The ratings also factor in the company's adequate profitability trajectory, supported by the increase in interest income from margin trade funding (MTF) and fee income from the distribution of financial products, while broking revenues have remained largely stable notwithstanding the industry and elevated global uncertainties.

The company reported a profit before tax/net operating income (PBT/NOI¹) of 26.2% in FY2026 compared to 24.4% in FY2025. While the PBT/NOI moderated to 17.6% in Q1 FY2027, this was primarily due to the impact of exceptional item². Adjusted for the same, PBT/NOI improved to 29.3% on an annualised basis. ICRA notes that finance costs and operating expenses had remained elevated in recent years exerting some pressure on profitability. The finance costs pertained to higher borrowings for scaling the MTF business and increased working capital requirements. The higher operating expenses were associated primarily with the expansion of the company's distribution business. While finance costs are expected to moderate partially following the equity infusion of Rs. 703 crore as part of the company's initial public offer (IPO), the operating expenses at an overall level are likely to remain elevated in the near term amid the continued expansion of the distribution franchise. Accordingly, the improvement in operating efficiencies and its impact on the profitability trajectory will remain monitorable.

The aforesaid strengths are partially offset by the company's moderate scale of operations and revenue diversification, exposure to the inherently volatile capital markets, the evolving regulatory and operating environment and the highly competitive and fragmented nature of the broking industry. Herein, ICRA notes the management's stated intent of scaling up MTF and financial product distribution to improve revenue diversification. The ratings also consider the credit and market risks associated with capital market-related lending businesses, given the nature of the underlying assets. Overall, maintaining adequate asset quality, capitalisation and profitability will remain imperative along with the ability to seamlessly align with the evolving regulatory landscape.

¹ NOI is defined as net broking and fee income (after reducing for referral and commission payouts) along with net interest income, while excluding trading income, fair value gains, dividend income, and other non-operating income.

² The exceptional item of Rs. 21 crore pertains to the cost incurred in relation to the replenishment/restoration of securities of two clients in the depository participant business for loss suffered due to unauthorised off-market transfer of such shares from their respective demat accounts with the help of certain employees of ARSSBL. In this regard the company had also appointed forensic auditor to investigate the matter, and the report of the forensic auditor was presented to the Board of Directors and Audit Committee.

The Stable outlook reflects ICRA's expectation that ARSSBL will continue to draw on its established franchise and market position to grow as per its business plans while maintaining comfortable capitalisation and liquidity. Further, the focus on scaling the MTF and distribution businesses will help provide some linearity to the cyclical nature of broking operations in the long run.

Key rating drivers and their description

Credit strengths

Established market position and long track record – Incorporated in 1991, ARSSBL has a long track record of over three decades across market cycles and an established market position. The company provides broking services (equity, derivatives, commodity, and currency) to retail and institutional clients. Additionally, it is engaged in MTF, distribution of financial products {primarily mutual funds, portfolio management services (PMS), and alternative investment funds (AIF)}, and insurance products. As of June 2026, the company served about 10 lakh clients through more than 2,200 employees and ~1,100 associates/business partners across 98 branches and online platforms, serving clients in tier 1, tier 2, and tier 3 cities. The entity is among the top 25 brokers in the country, with ~1.5 lakh National Stock Exchange (NSE) active clients.

Comfortable capitalisation – ARSSBL's capitalisation stands comfortable, characterised by a net worth of Rs. 1,341 crore and gearing of 0.8 times as on June 30, 2026. The company went public in September 2025 with its IPO resulting in equity infusion of Rs. 703 crore (net inflow), which coupled with the internal accruals has supported the capital profile thus far. The IPO aided in reducing the financial leverage, which stood at 1.9 times as of March 2025 (prior to the IPO). The capital infusion provides the requisite headroom for the planned scale of the MTF book in the near term. While an increase in absolute borrowings from the current levels cannot be ruled out for supporting scale up in operations, the debt/equity ratio is expected to remain comfortably lower than the peak gearing of 2.3 times as of March 2023.

Adequate profitability – ARSSBL has reported gradual improvement in profitability in recent years, notwithstanding industry and regulatory headwinds. While broking revenues were rangebound, increase in interest income from MTF and fee income from financial product distribution supported overall revenues and revenue diversification to a certain extent. The company reported PBT of Rs. 172 crore on NOI of Rs. 654 crore (PBT/NOI of 26.2% and return on net worth (RoNW) of 14.0%³) in FY2026 compared to Rs. 140 crore and Rs. 575 crore respectively in FY2025 (PBT/NOI of 24.4% RoNW of 23.1%). In Q1 FY2027, the company reported PBT and NOI of Rs. 31 crore and Rs. 178 crore respectively (PBT/NOI of 17.6% and RoNW of 6.9%). Although the PBT was impacted owing to an exceptional item⁴. Adjusted for the same, PBT/NOI improved to 29.3% on an annualised basis. ICRA notes that finance costs and operating expenses had remained elevated in recent years exerting some pressure on profitability. The finance costs pertained to higher borrowings for scaling the MTF business and increased working capital requirements. The higher operating expenses were associated primarily with the expansion of the company's distribution business. While finance costs are expected to moderate partially following the equity infusion of Rs. 703 crore as part of the company's initial public offer (IPO), the operating expenses at an overall level are likely to remain elevated in the near term amid the continued expansion of the distribution franchise. Accordingly, the improvement in operating efficiencies and its impact on the profitability trajectory will remain critical from a credit perspective.

Credit challenges

Moderate scale of operations; vulnerability to risks inherent in capital market-related businesses – While ARSSBL has a long-standing track record and offers several capital market services, its scale remains moderate. As of June 2026, it had a market share of less than 1% in terms of NSE active clients, while its share in the MTF segment stood at ~1%. Further, net broking

³ RoNW for FY2026 was optically impacted due to the Rs. 700-odd crore equity infusion post the IPO in September 2025

⁴ The exceptional item of Rs. 21 crore pertains to the cost incurred in relation to the replenishment/restoration of securities of two clients in the depository participant business for loss suffered due to unauthorised off-market transfer of such shares from their respective demat accounts with the help of certain employees of ARSSBL. In this regard the company had also appointed forensic auditor to investigate the matter, and the report of the forensic auditor was presented to the Board of Directors and Audit Committee.

income continues to account for a sizeable portion of NOI, although the same reduced compared to historical levels. Net broking accounted for ~46% of NOI in Q1 FY2026 compared to ~47% in FY2026, ~56% in FY2025 and ~62% in FY2024. NII (from MTF, fixed deposits with banks, and interest on delayed customer payments) accounted for ~38% of NOI in Q1 FY2027 (~36% in FY2026 and ~30% in FY2025), followed by distribution income (~15% in Q1 FY2027, ~17% in FY2026 and ~14% in FY2025). Herein, ICRA notes the management's stated intent of scaling up MTF and financial product distribution. This is reflected in the recent increase in the MTF book and income from the distribution of mutual funds, PMS, and AIF, albeit on a low base.

Furthermore, ARSSBL's revenues are linked to capital markets performance, which are inherently volatile in nature. Accordingly, the possibility of pressure on profitability, especially during market downturns, cannot be ruled out. The company is also exposed to credit and market risks on account of the MTF book, given the nature of the underlying assets, as any adverse event in capital markets could erode the value of underlying collateral. While this is partially mitigated by the granular MTF portfolio, the company's ability to maintain adequate asset quality and capitalisation while ramping up the MTF book would remain monitorable. ARSSBL has pursued a calibrated ramp-up of its capital market lending book. The MTF book stood at Rs. 1,332 crore as of June 2026 compared to Rs. 1,102 crore as of March 2026 and Rs. 686 crore as of March 2025.

Elevated competition, evolving regulatory environment and high dependence on technology – Securities broking companies rely heavily on technology for trade execution, fund management, and other operations. Thus, technical failures or disruptions pose operational and reputational risks. In this regard, it is noted that ARSSBL encountered four technical glitches in 5M FY2027 (three in FY2026). Moreover, given the highly regulated nature of the industry, brokerage houses remain exposed to regulatory risk. Their ability to ensure compliance with the evolving regulatory landscape remains crucial. Regulatory changes, such as the tightening of the index derivatives framework, and higher working capital requirements have impacted the profitability of securities brokers. Moreover, the recent tightening in bank lending to capital market intermediaries could further constrain the financial flexibility of capital market intermediaries, while the heightened volatility associated with the implementation of the closing auction session, could impact overall trading activity in the near term, particularly among high-frequency and algorithmic participants. Given ARSSBL derives over 35-40% of its gross broking income from derivatives segment, the possibility of pressure on its overall broking performance cannot be ruled out.

The securities broking sector is also characterised by intense competition and is susceptible to the entry of new players. However, the increasing financialisation of savings and the low share of wallet of the equity segment in household savings offer untapped potential for expansion in the broking sector over the longer term. Nevertheless, the possibility of pressure on profitability, especially during downturns, cannot be ruled out.

Environmental and social risks

Environmental considerations: While financial institutions do not face any material physical climate risks, they are exposed to environmental risks indirectly through their portfolio of assets. Nonetheless, such risk is not material for ARSSBL as its lending operations are primarily focussed on capital market-related lending. Further, its business activities are typically short-to-medium term in nature, which will allow adaptation, if required.

Social considerations: Data security and customer privacy are among the key sources of vulnerability for financial institutions, as material lapses could be detrimental to their reputation and invite regulatory censure. Customer preferences are increasingly shifting towards digital modes of transacting, necessitating adoption of technological advancements, besides providing an opportunity to reduce operating costs. It is noted that ARSSBL has been making investments to enhance its digital interface with customers.

Liquidity position: Strong

ARSSBL's funding requirement is primarily for financing the MTF book and for placing margins at the exchanges. Its average margin utilisation (computed on a month-end basis) stood at 71% during August 2025-February 2026, with the average effective (non-cash collateral not to be more than the available cash collateral placed) monthly margin (based on month-end

data, including client margin) placed on exchanges aggregating Rs. 6,954 crore during this period. The MTF portfolio is funded through a combination of equity and borrowed capital, while working capital requirements currently remain equity funded. The company has diversified its borrowing mix across banks, non-banking financial companies (NBFCs), non-convertible debentures (NCDs), and loans from related parties, aggregating ~Rs. 1,100 crore as on August 31, 2026. Against this, it had an unencumbered cash balance of Rs. 21 crore and sanctioned but unutilised lines of Rs. 628 crore. The unencumbered cash balance and drawable but unutilised bank lines represent over 50% of borrowings outstanding as of August 2026. Additionally, its short-term loan assets, which can be liquidated at short notice to generate liquidity if required, stood at ~Rs. 1,400 crore as on August 31, 2026.

Rating sensitivities

Positive factors – A significant improvement in the scale of operations, market position and revenue diversification while achieving strong profitability and maintaining comfortable capitalisation on a sustained basis would be a positive factor.

Negative factors – A sustained decline in the scale of the broking business or deterioration in the asset quality of the lending business, materially impacting profitability with PBT/NOI falling below 20% on a continued basis, will be a credit negative. A deterioration in consolidated capitalisation, with leverage exceeding 2 times, and/or weakening liquidity profile will also be credit negatives.

Analytical approach

Analytical approach	Comments
Applicable rating methodologies	Capital Market Intermediaries
Parent/Group support	Not applicable
Consolidation/Standalone	Consolidation

About the company

Anand Rathi Share and Stock Brokers Limited (ARSSBL) is a full-service broking company and part of the Anand Rathi Group, a diversified financial services player. The company provides broking services, margin trading, and financial product distribution under the 'Anand Rathi' brand, offering investment options in equity, derivatives, commodities, and currency markets to retail, HNI, UHNI, and institutional investors. The entity has over three decades of experience in capital market businesses. As of June 2026, it served about 10 lakh clients through 2,200+ employees and ~1,100 associates and partners across 98 branches and online platforms, serving clients in tier 1, tier 2, and tier 3 cities. It has a wholly owned subsidiary - Anand Rathi International Ventures (IFSC) Private Limited. ARSSBL was originally incorporated as Navratan Capital and Securities Private Limited on November 22, 1991. It converted into a public limited company on March 21, 2007. Subsequently, the company's name was changed to Anand Rathi Share and Stock Brokers Limited vide certificate of incorporation dated January 29, 2008. The company is listed on the Bombay Stock Exchange (BSE) and the National Stock Exchange (NSE).

Key financial indicators (audited)

ARSSBL – Consolidated	FY2025	FY2026	Q1 FY2027*
Net operating income (NOI)	575.1	653.9	178.3
Profit after tax (PAT)	103.6	129.3	23.4
Net worth	503.8	1,348.1	1,341.4**
Reported total assets	3,365.0	7,099.3	4,724.2
Gearing (times)	1.9	0.6	0.8
Return on average net worth	23.1%	14.0%^	6.9%^^

Source: Company and ICRA Research; Amount in Rs. crore; All ratios as per ICRA's calculations; ^Optically impacted due to capital infusion of Rs. 703 crore (net) following the IPO in September 2025; *Limited review numbers; **Net worth as of June 2026 was lower than March 2026 due to dividend payout; ^^Impacted due to exceptional items of ~Rs. 21 crore

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Instrument	Current (FY2027)					Chronology of rating history for the past 3 years					
	Type	Amount rated	Sept 29, 2026	Date	Rating	FY2026		FY2025		FY2024	
						Date	Rating	Date	Rating	Date	Rating
Long-term/Short-term fund-based/ Non-fund based bank lines – others	Long term/ Short term	1,945.0	[ICRA]A+ (Stable)/ [ICRA]A1+	Apr 30, 2026	[ICRA]A+ (Stable)/ [ICRA]A1+	-	-	-	-	-	-
				May 15, 2026	[ICRA]A+ (Stable)/ [ICRA]A1+	-	-	-	-	-	-
				Jul 06, 2026	[ICRA]A+ (Stable)/ [ICRA]A1+						
Commercial paper	Short term	300.0	[ICRA]A1+	Apr 30, 2026	[ICRA]A1+	-	-	-	-	-	-
				May 15, 2026	[ICRA]A1+	-	-	-	-	-	-
				Jul 06, 2026	[ICRA]A1+						

Amount in Rs. crore

Complexity level of the rated instruments

Instrument	Complexity indicator
Long-term/Short-term fund-based/ Non-fund based bank lines – others	Simple
Commercial paper	Simple

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: [Click here](#)

Annexure I: Instrument details

ISIN	Instrument name	Date of issuance	Coupon rate	Maturity	Amount rated (Rs. crore)	Current rating and outlook	Financial sector regulator [#]
NA	Long-term/Short-term fund-based/ Non-fund based bank lines – others	-	-	-	1,945.0	[ICRA]A+ (Stable)/ [ICRA]A1+	RBI
INE549H14040	Commercial paper	July 31, 2026	8.50%	Oct 30, 2026	10.0	[ICRA]A1+	RBI
INE549H14057	Commercial paper	Aug 21, 2026	8.30%	Oct 05, 2026	50.0	[ICRA]A1+	RBI
INE549H14065	Commercial paper	Aug 25, 2026	8.50%	Nov 24, 2026	8.0	[ICRA]A1+	RBI
INE549H14073	Commercial paper	Aug 27, 2026	8.50%	Nob 26, 2026	25.0	[ICRA]A1+	RBI
INE549H14081	Commercial paper	Sep 10, 2026	8.40%	Dec 09, 2026	15.0	[ICRA]A1+	RBI
yet to be placed	Commercial paper	-	-	7-365 days	192.0	[ICRA]A1+	RBI

[#]SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

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Annexure II: List of entities considered for consolidated analysis

Company name	Ownership as on June 30, 2026	Consolidation approach
Anand Rathi Share and Stock Brokers Limited	Holding company	Full consolidation
Anand Rathi International Ventures (IFSC) Private Limited	100%	Full consolidation

Source: Company

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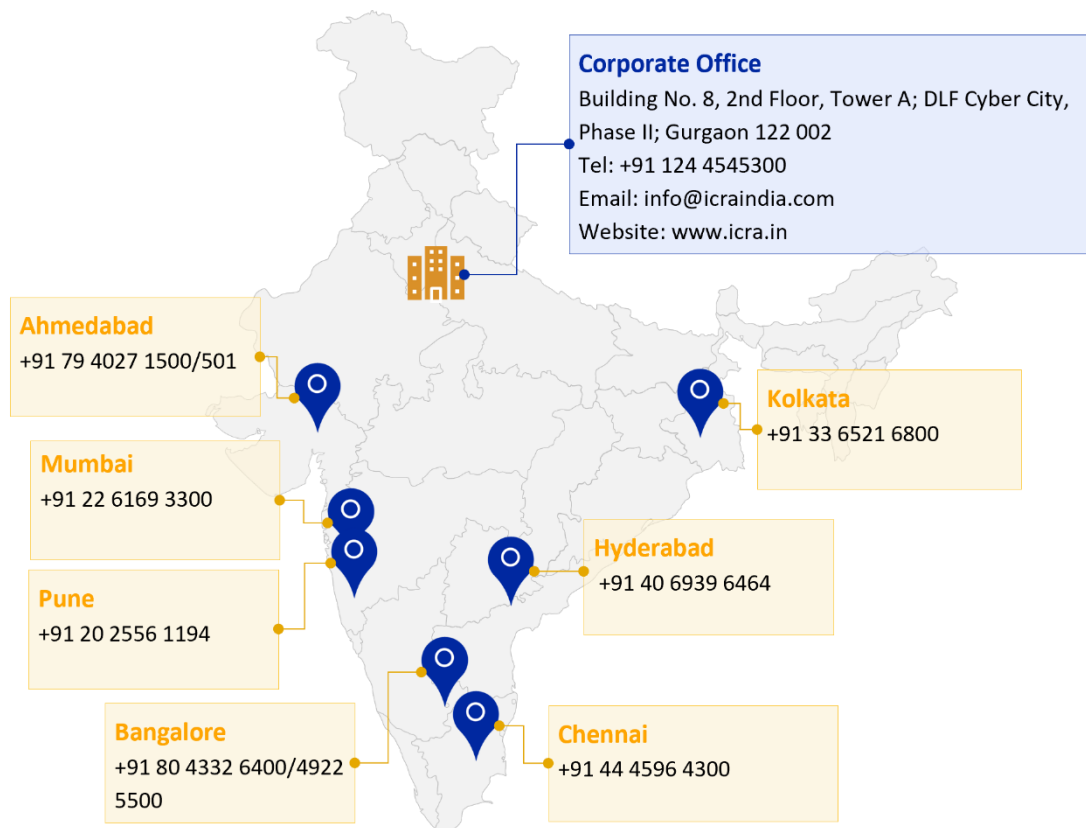


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Branches



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